

#28 NDA Risk Detector

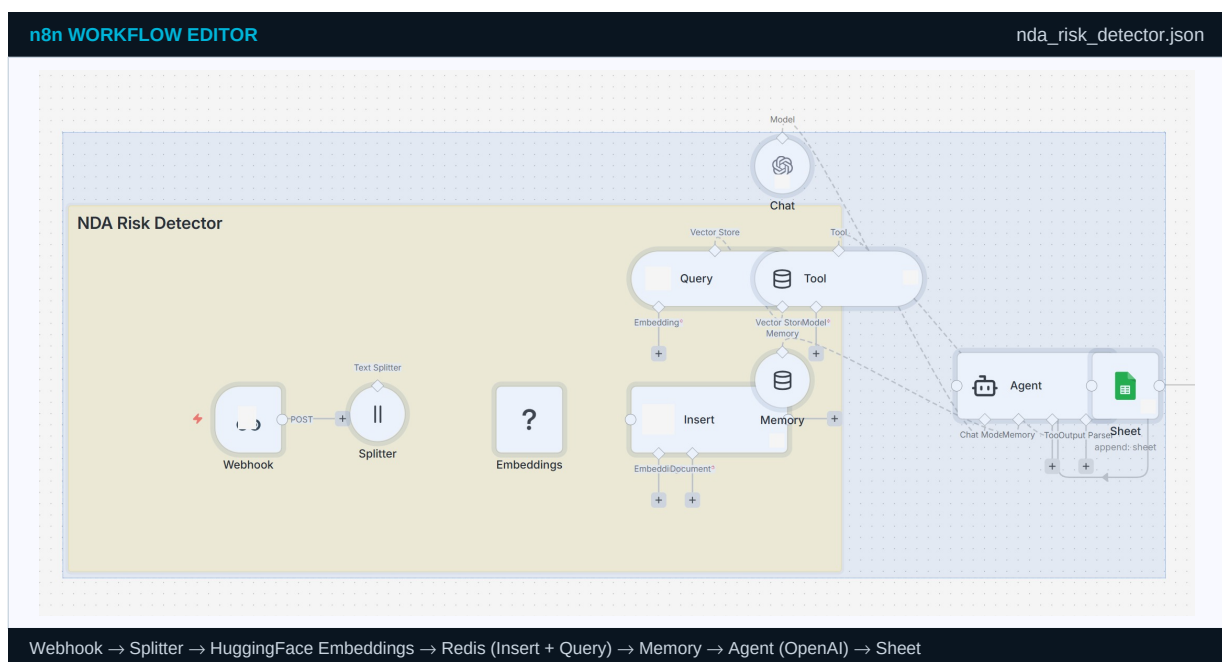
Legal Tech / AI
Contract
Intelligence

AI reviews every NDA clause Red Amber Green and suggests redline language instantly

BUSINESS PROBLEM

Legal teams spend 2-4 hours manually reviewing each NDA, blocking commercial deals. This workflow parses any NDA, classifies every clause by risk against a company playbook, suggests specific redline language for flagged clauses, and delivers a one-page risk brief in under 2 minutes.

n8n CANVAS — actual workflow screenshot



INPUT / OUTPUT — exact n8n JSON format

INPUT — Webhook POST — NDA document received (PDF or DOCX upload)

OUTPUT — Legal risk report — clause-by-clause assessment with redlines

```
{
  "document_id": "nda-2024-0441",
  "counterparty": "TechVendor Ltd",
  "deal_type": "software_partnership",
  "document_url": "s3://legal-intake/nda-2024-0441.pdf",
  "submitted_by": "commercial@company.com",
  "submitted_at": "2024-06-15T09:30:00Z"
}
```

```
{
  "json": {
    "document_id": "nda-2024-0441",
    "counterparty": "TechVendor Ltd",
    "overall_risk": "AMBER",
    "risk_score": 62,
    "reviewed_sec": 107,
    "clauses": [
      {
        "section": "4.2",
        "type": "IP Ownership",
        "risk": "RED",
        "redline": "IP jointly owned proportional to contribution",
      },
      {
        "section": "8.0",
        "type": "Jurisdiction",
        "risk": "AMBER",
        "redline": "Add concurrent home-country jurisdiction",
      },
      {
        "section": "2.1",
        "type": "Confidentiality",
        "risk": "GREEN",
        "redline": null
      }
    ],
    "action": "Legal review required — 2 RED clauses"
  }
}
```

STEP-BY-STEP — what each node does

#	WHAT HAPPENS	PRACTICAL DETAIL
1	■ Webhook — NDA document received	Email attachment webhook or form upload. Accepts PDF and DOCX. Returns document_id immediately.
2	⌘ Splitter — clause-level segmentation	Splits NDA at clause boundaries: 'Section N', 'Article N', 'Clause N'. Each clause = one chunk.
3	■ HuggingFace Embeddings — legal vectors	Each clause embedded using open-source legal model. Company playbook clauses also embedded as baseline.
4	■ Redis Insert — NDA clauses cached	Clauses cached in Redis TTL=24h for fast agent retrieval during analysis loop.
5	■ Redis Query — playbook comparison	Agent retrieves company standard position for each clause type: IP, non-compete, jurisdiction, term.
6	■ Vector Tool — legal precedent search	Searches past NDA archive: 'what jurisdiction did we accept in previous vendor agreements?'
7	■ Window Memory — cross-clause coherence	Ensures IP ownership and confidentiality clauses are internally consistent before report is finalised.
8	■ OpenAI GPT-4 — clause risk assessment	For each clause: extracts type, analyses vs standard, scores R/A/G, drafts specific redline if flagged.
9	■ AI Agent — compiles one-page report	Assembles: clause table, overall_risk_score, top concerns, redline_suggestions, action statement.
10	■ Sheets — legal audit log	{counterparty, risk_score, key_issues, reviewed_at, outcome} for compliance tracking.

CREDENTIALS REQUIRED

CREDENTIAL	WHERE TO GET IT	n8n TYPE
HuggingFace API Token	huggingface.co/settings/tokens	HuggingFace API

CREDENTIAL	WHERE TO GET IT	n8n TYPE
Redis Cloud URL + Password	redis.com → Create free database → Connection string	Redis API
OpenAI API Key	platform.openai.com — GPT-4 required for legal reasoning	OpenAI API

SAMPLE RUN — what this workflow processed and produced

Scenario	A software company signs 3-5 NDAs per month. Legal counsel flagged 2-day turnaround time as blocking commercial progress.
Input received	NDA from TechVendor Ltd uploaded at 09:30. 8-page PDF. Deal type: software_partnership.
What the workflow found	Section 4.2 (IP Ownership): counterparty's clause assigned all jointly developed IP to themselves. Redis precedent: we rejected this structure in 3 of 3 previous negotiations.
Output produced	Risk report in 107 seconds. 2 RED clauses, 3 AMBER, 9 GREEN. Redlines auto-drafted for both RED clauses. Legal counsel reviewed in 12 minutes vs previous 3-4 hours.

JSON: nda_risk_detector.json

GitHub: trm-nda-risk-detector

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